POINTS TO REMEMBER

- Payments are the financial instruments used globally to transfer value in the form of money or its substitutes and are constantly changing due to new technology and Government regulations.
- Payment system can also be divided into two types, namely the cash payment system and the non-cash payment system based on the instruments used. In the cash payment system, the instruments used are in the form of currency (paper money and coins) while in the non-cash payment system the instruments used are card-based payment, Cheques or electronic money.
- A Credit card plays a major role in electronic payment system worldwide.
- ECS is treated as a electronic cheques by the bank. The advantages and disadvantages of the physical cheque is also extended to ECS. In electronic clearing services, bank process the instructions from the customer to debit his account and pay another automatically without much human interference.
- (POS) Point of Sale Terminal- It enables customers to make payment for purchase of goods and services by means of credit and debit cards. To facilitate customer convenience some banks also cash withdrawal using debit cards at POS terminals.

GLOSSARY

BIN	Bank Identification Number. The first six-digits of credit card number to uniquely identify financial institutions.
Brick and mortar	The term that refers to a business that has a physical store; opposite of online store.
(CVC2/CVV2)	Card Verification Code and Card Verification Value : A three digit code printed on the cardholder signature panel allows e-payments when the card is not physically accessible.
Credit card network / processor	Company responsible for communicating the transaction between the acquirer and the credit card issuer. E.g. MasterCard, Visa, Rupay
Double spend	A type of fraud where same cryptocurrency is spent in more than one transactions.
E-wallets	Electronic purses allow users to make electronic transactions quickly and securely
Gift cards	A magnetic stripe or chip card that holds the value of money to offer as a gift by a E-business
Internet banking	Is the activity of buying or selling of commodities through online services or over the Internet
PIN	Personal Identification Number. A static number that is assigned to consumers to secure card based payments.
Point of sale (POS)	Merchant's electronic device that enables the e-payments. It reads the card information from EMV or magnetic strip

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